

How To Write A Good Economics Essay

In the Singapore-Cambridge GCE 'A' Level Economics (H2), the essay paper accounts for 60 per cent of the total marks. Therefore, good essay writing skills are essential for obtaining a good grade in the subject. Although there is no one best way to tackle an essay question, students can use "*The 8-Step Approach*" to construct a good answer.

The 8-Step Approach

Step 1: Read the question carefully.

Step 2: For a two-part question, look at the mark that each part carries as it indicates the length of the answer expected. Further, consider part (b) before attempting part (a) to prevent any overlap between the answers.

Step 3: Pay particular attention to key words as they indicate the content areas on which you are required to focus.

Step 4: Pay particular attention to command words as they indicate what you are asked to do. A list of command words commonly used in the GCE 'A' Level Economics paper together with their explanations can be found on Economics Tuition Methodology.

Step 5: Make a note of the relevant economic theories and concepts that come to your mind without paying attention to their degree of relevance.

Step 6: Prioritise the relevant economic theories and concepts in accordance with their degree of relevance.

Step 7: If the list of relevant economic theories and concepts is too long, consider ways to merge some of them. Otherwise, what you did in Step 6 should help you decide which of them to apply and which of them to ignore.

Step 8: Organise the relevant economic theories and concepts that you have decided to apply in such a way that there is a structure to the answer. The answer should comprise an introduction, body and conclusion. It should be about four pages in length, excluding diagrams. Refer to the sample answer below.

Question

Discuss whether the growth of the Chinese economy would be detrimental to the Singapore economy.

The

Introduction

The introduction should define the economic terms in the question. It should also give an overview of the approach in a clear and concise manner. For structured questions, however, an overview of the approach may not be necessary. You should not form a judgment in the introduction. In other words, you should not use the conclusion as the introduction.

Example

Economic growth is an increase in real national income or real national output. The effects of the growth of the Chinese economy on the Singapore economy can be discussed in terms of the effects on the balance of payments, the national income, the unemployment, the general price level and the income equity.

The

Body

The body should contain the thrust of the answer, usually comprising a few paragraphs, with each paragraph containing only one main idea. The main idea in each paragraph should be succinctly conveyed in the topic sentence, with the rest of the paragraph elaborating the topic sentence by giving details, examples, facts and statistics. The topic sentence is usually, but not always, the first sentence in the paragraph. Sometimes, the topic sentence can be the only sentence in the paragraph if it is self-explanatory.

Example

(A

Paragraph

of

the

Body)

The growth of the Chinese economy may lead to a deterioration in the balance of payments of Singapore. The balance of payments is a record of all the transactions between the residents of the economy and the rest of the world over a period of time and is made up of the current account and the capital and financial account. Due to its larger pool of low-skilled labour, China has a comparative advantage over Singapore in producing low value-added goods, which include consumer, capital and intermediate goods. Therefore, the growth of the Chinese economy will lead to a fall in net exports of low value-added goods in Singapore. When this happens, the current account and hence the balance of payments of Singapore will deteriorate. When the Chinese economy grows, it will attract foreign direct investments away from Singapore due to its lower cost of production and larger consumer market. Further, due to the same reasons, firms in Singapore will increase investments in China. When these happen, the capital and financial account and hence the balance of payments of Singapore will deteriorate.

The

Conclusion

For part (a) questions, the conclusion can be a summary or a recommendation. For full-length and part (b) questions, the conclusion should be an evaluation.

Example

In the final analysis, the benefits of the growth of the Chinese economy to the Singapore economy are likely to outweigh the costs. Singapore's exports consist of mainly high value-added goods due to its comparative advantage in these industries, with low value-added goods accounting for a small proportion of the total exports. Therefore, the increase in exports of high value-added goods in Singapore is likely to more than offset the decrease in exports of low value-added goods resulting in an increase in the aggregate demand. As the Singapore economy is highly dependent on external demand, the increase in exports is likely to increase the aggregate demand substantially. The increase in imports of cheaper intermediate goods from China in Singapore is also likely to be very beneficial as it is likely to reduce the cost of production substantially due to its lack of factor endowments.

You are given only 45 minutes to plan and write the answer to an essay question. Since you need about 35 to 40 minutes to write the answer, you have only about 5 to 10 minutes to plan the answer.

When planning the answer to an essay question, you should not be too concerned with producing the 'standard answer' because it does not exist. What is required of you is to show evidence that you have understood the question and that you have the ability to apply relevant economic theories and concepts to answer the question in a coherent manner that demonstrates the five core thinking skills: knowledge, comprehension, application, analysis and synthesis, and evaluation. Knowledge and comprehension are often considered the lower-order thinking skills. Application, analysis and synthesis, and evaluation are often considered the higher-order thinking skills. An explanation of these thinking skills is given below.

When writing the answer to an essay question, you are encouraged to use diagrams that are correctly labelled to illustrate understanding of the relevant economic concepts. However, you need to take note that diagrams that are incorrectly explained or incorrectly labelled may do more harm than good. Further, although examples are not compulsory, in many instances, they illustrate understanding of the relevant economic concepts and substantiate explanations.

You should NOT write everything that you know about a given content area. In other words, you should answer the essay question DIRECTLY, with the help of the key words and the command words, taking into consideration the marks allocated. Indirect answers and irrelevant answers will gain no marks.

You should avoid a one-sided answer. In other words, you should provide an evaluation or evaluations in the answer as far as possible. An explanation of this thinking skill is given below.

You should refer back to the essay question occasionally to stay focussed on what is required of you to do. This is to avoid writing out of point.

Last but not least, legible handwriting is crucial to obtaining a good grade in the subject. Although you will not get bonus marks for legible handwriting, you will not get any marks with illegible handwriting.

Good grammar will enhance the quality of the answer.